

surged in 2024, supported by rising urbanisation, shifting lifestyles, and increasing demand across premium and luxury segments. “Residential demand has been particularly strong, while the luxury market saw a boost from high net worth individuals and non-resident Indians (NRIs) keen on high-end amenities in cities like Gurugram, Mumbai, and Bengaluru,” he adds.

According to Aggarwal, the sector, valued at approximately \$493 billion, contributes 7.3% of India’s gross domestic product (GDP) and is the second-largest job creator after agriculture. Thus, the fortunes of the sector will not only have a sustained impact on the lives of its stakeholders but will also prove to be crucial for India’s overall economic growth.

98 | According to Anuj Puri, Chairman of real estate consultants Anarock Group, India’s housing market has seen a robust recovery after Covid, reaching its highest decadal sales level in the first half of 2024. “This trend is likely to carry on for the next one to one-and-a-half years due to economic growth, the enduring desire for home ownership, and urban development,” Puri tells *Business Today*.

Since this opportunity has arrived after years, developers are pulling out all stops to capitalise on it. Puri says builders are adapting to changing tastes by concentrating on high-end and luxury properties, which has led to an increase in new offerings in these segments. “Nevertheless, worries persist in the affordable housing sector as demand outweighs supply. In general, the market seems to be looking up, with prices holding and an uptick in luxury property projects.”

Realtors seem gung-ho about the growth prospects of the sector, and not without reason. Since touching the nadir in 2020 during the first wave of the pandemic, the housing market in India hit new highs in 2024. Data from real estate services firm JLL shows that during the first nine months of 2024, the Top 7 markets recorded the highest ever sales at 229,908 units, a growth of 17% year-on-year.

“Residential sales during the first nine months of 2024 achieved 85% of the volume recorded during the entire 2023, showing the robust sales traction across the Top 7 cities. As much as 23% of the overall nine-month sales were recorded in

projects that got launched during January-December 2023,” says Samantak Das, Chief Economist and Head of Research and REIS, India at JLL. This indicates a strong revival of customer confidence in projects even in their early stages, he adds.

Manoj Gaur, Chairman and Managing Director of real estate company Gaur’s Group, says there is also a shift towards bigger spaces and iconic projects by reputed developers, offering world-class amenities. The market consolidation that had started just ahead of the pandemic in 2018 has also picked up pace over the past few years, and that trend is only going to gain pace, leading to a further shift towards higher-quality projects in and around the urban centres, says Gaur, who is also Chairman of the industry association, Confederation of Real Estate Developers Associations of India (CREDAI) National.

The demand for wellness, technology, personalisation, and sustainability is here to stay, says Akash Ohri, Joint MD & Chief Business Officer, DLF Homes Developers. “The rise in demand for ultra-luxury homes shows no signs of slowing

LEAGUE TABLE

➤ DLF remains the top real estate company on the BT500 list ➤ The Top 5 real estate firms have seen stellar gains in average market cap over the past year

Company	2024/2023 Rank	Average Market Cap*	Total Income	PAT	ROE (%)	TTM P/E Multiple
DLF	39/50	1,95,432 (85)	6,958 (16)	1,630 (48)	4.2	56.6
Macrotech Developers	73/96	1,13,088 (110)	12,139 (24)	1,554 (218)	10.7	59.5
Godrej Properties	120/145	69,150 (84)	4,334 (43)	747 (20)	7.8	59
Oberoi Realty	148/161	55,712 (62)	4,819 (12)	1,927 (1)	14.8	30.4
Prestige Estates Projects	149/238	55,259 (180)	9,425 (7)	1,629 (53)	15.3	109.4

NOTE DATA AS OF NOVEMBER 25, 2024; *FROM OCTOBER 1, 2023 TO SEPTEMBER 30, 2024; TOTAL INCOME, PAT AND ROE FOR FY24; **P/E** IS PRICE-TO-EARNINGS; AVERAGE MARKET CAP, TOTAL INCOME, AND PAT IN ₹ CRORE; FIGURES IN BRACKETS INDICATE YOY CHANGE IN %; RESULTS ARE ON CONSOLIDATED BASIS; **SOURCE** ACE EQUITY